

Disclosing Environmental Hazards

You're not an environmental scientist, and no one expects you to have specialized expertise in this area. However, you are presumed to have specialized knowledge of real estate, and that extends to being cognizant of the environmental issues that can occur.

Type of Hazards

You and your clients may encounter environmental hazards both inside and outside the home. Interior hazards include conditions like the presence of pests, radon, mold, or asbestos. Exterior hazards include conditions like flooding, hazardous waste, underground storage tanks, landfills, and groundwater contamination. While you may recognize signs of some of these issues, remember to focus on your scope of expertise and recommend that your clients seek professional assistance.

Leave It to the Professionals

It's also important that you know where, when, and how to seek assistance from the experts: environmental technicians, assessors, and auditors. This is true for all properties, but especially in commercial applications, where a former use may have resulted in contamination. Testing of soil, air, and water are prudent steps to take in the due diligence process. If you recommend these tests to your client, and your client decides not to follow through with them, you have at least done your part to make your client aware of the possibility of issues. Be sure to keep records of any such recommendations, with a written response from your client.

Disclosure

Part of your role as a real estate expert is the responsibility to disclose any environmental issues to all parties in a transaction. If you're working with a seller, and the seller fails to disclose an environmental issue that's known to you, such as a buried oil tank that's not in use and hasn't been decommissioned, you must disclose it to all parties in writing, even if your client asks you not to disclose it. To not disclose an issue you know about-or should've known about-leaves you open to a lawsuit. The seller may have primary liability, but you would also be liable in this situation.

A licensee is always required to disclose known material facts. Sellers of residential properties are required by law to disclose any known hazards. Sellers of commercial and industrial properties, on the other hand, have no such legal obligation to disclose known hazards. However, as a licensee, you're held to higher standards than the seller is. Because of this, when you're the seller's agent in a commercial or industrial transaction, you're obligated to disclose any environmental hazards you know about or should have known about.

For example, let's say the property is a warehouse, and it was the site of a hazardous chemical spill. The seller knows this but has no obligation to disclose it to a buyer. The agent doesn't know about it, so has no obligation to disclose it. But if the seller tells the agent about it, the agent does have an obligation to disclose, although the seller still doesn't have that obligation because it's a commercial property, not residential.

When you represent a buyer of a commercial or industrial property, you should emphasize the importance of a professional environmental audit; this can safeguard the buyer in the absence of seller disclosures.